

Investor Presentation

Quarter and Six Months Ended September 30, 2020

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance Highlights – Consolidated Results

Q2 FY 2020-21:

- Revenue at ₹728.1 million (\$9.8 million), growth of 6.1% QoQ.
- EBITDA for the quarter ended September 30, 2020 at ₹43.7 million (\$0.6 million) compared to ₹31.0 million (\$0.4 million) for the quarter ended June 30, 2020 and ₹6.6 million (\$0.1 million) for the quarter ended September 30, 2019.
- Profit After Tax (“PAT”) at ₹23.2 million (\$0.3 million) as against PAT of ₹16.7 million (\$0.2 million) for the quarter ended June 30, 2020 and a loss of ₹15.5 million (\$0.2 million) for the quarter ended September 30, 2019.

Year To Date 2020-21:

- Revenue at ₹1,414.3 million (\$18.9 million), growth of 3.5% as against the preceding year.
- EBITDA at ₹74.7 million (\$1.0 million), growth of 121.6% as against the preceding year.
- Profit After Tax (“PAT”) at ₹39.9 million (\$0.5 million) as against a loss of ₹12.0 million (\$0.2million) in the preceding year.

Performance Highlights – Consolidated Results

SEQUENTIAL Q2'21 vs. Q1'21

Amount in ₹ million

SL #	Particulars	Q2' 21 (Unaudited)	Q1' 21 (Unaudited)	Change %
1	Income:			
	a) Revenue	728.1	686.2	6.1%
	b) Other income	9.5	21.5	-55.8%
	Total Income (a+b)	737.6	707.7	4.2%
2	<u>Expenses:</u>			
	a) Cost of hardware, software and technical sub-contractors	112.7	113.2	-0.4%
	b) Employee benefits expense	504.6	484.8	4.1%
	c) Finance cost	4.4	5.4	-18.5%
	d) Depreciation and amortization	17.2	17.6	-2.3%
	e) Other expenses	67.1	57.2	17.3%
	Total Expenses (a+b+c+d+e)	706.0	678.2	4.1%
3	Profit/(Loss) Before Tax ("PBT") (1-2)	31.6	29.5	7.1%
4	Tax expense	8.4	12.8	-34.4%
5	Profit/(Loss) After Tax ("PAT") (3-4)	23.2	16.7	38.9%

Performance Highlights – Consolidated Results

YoY Q2 FY 21 vs. Q2 FY 20

Amount in ₹ million

SL #	Particulars	Q2' 21 (Unaudited)	Q2' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	728.1	680.6	7.0%
	b) Other income	9.5	3.9	143.6%
	Total Income (a+b)	737.6	684.5	7.8%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	112.7	98.9	14.0%
	b) Employee benefits expense	504.6	496.5	1.6%
	c) Finance cost	4.4	5.6	-21.4%
	d) Depreciation and amortization	17.2	17.6	-2.3%
	e) Other expenses	67.1	78.6	-14.6%
	Total Expenses (a+b+c+d+e)	706.0	697.2	1.3%
3	Profit/(Loss) Before Tax (1-2)	31.6	(12.7)	(a)
4	Tax expense	8.4	2.8	200.0%
5	Profit/(Loss) After Tax ("PAT") (3-4)	23.2	(15.5)	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Highlights – Consolidated Results

YTD FY 21 vs. YTD FY 20

Amount in ₹ million

SL #	Particulars	Q2' 21 (Unaudited)	Q2' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	1,414.3	1,366.0	3.5%
	b) Other income	31.0	7.3	324.7%
	Total Income (a+b)	1,445.3	1,373.3	5.2%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	225.9	208.8	8.2%
	b) Employee benefits expense	989.4	974.1	1.6%
	c) Finance cost	9.8	11.5	-14.8%
	d) Depreciation and amortization	34.8	33.9	2.7%
	e) Other expenses	124.3	149.4	-16.8%
	Total Expenses (a+b+c+d+e)	1,384.2	1,377.7	0.5%
3	Profit/(Loss) Before Tax (1-2)	61.1	(4.4)	(a)
4	Tax expense	21.2	7.6	178.9%
5	Profit/(Loss) After Tax ("PAT") (3-4)	39.9	(12.0)	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHTS

In ₹ Million

Particulars		Q2-2021	Q1-2021	Q2-2020	Growth %		FY 20
					QoQ	YoY	
	Revenue	728.1	686.2	680.6	6.1%	7.0%	2,761.3
	EBITDA	43.7	31.0	6.6	41.0%	562.1%	44.9
	PAT	23.2	16.7	(15.5)	38.9%	(a)	(648.0)

In \$ Million

Particulars		Q2-2021	Q1-2021	Q2-2020	Growth %		FY 20
					QoQ	YoY	
	Revenue	9.8	9.1	9.7	7.7%	1.0%	38.9
	EBITDA	0.6	0.4	0.1	45.9%	500.0%	0.6
	PAT	0.3	0.2	(0.2)	40.3%	(a)	(9.1)

USD/INR

Exchange Rate		Q2-2021	Q1-2021	Q2-2020	FY 20
	Average (P&L)	74.7	75.4	70.7	71.1

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Fact Sheet

REVENUE METRICS

Geography		Q2-2021	Q1-2021	Q2-2020	FY 20
	USA	69%	68%	69%	69%
	IMEA	8%	7%	6%	6%
	Europe	10%	11%	10%	10%
	APAC	13%	14%	15%	15%

Delivery Centers		Q2-2021	Q1-2021	Q2-2020	FY 20
	USA	60%	59%	59%	60%
	India	13%	13%	14%	13%
	Singapore	9%	9%	8%	9%
	Malaysia	4%	5%	6%	5%
	UK	7%	7%	7%	7%
	Germany	3%	3%	3%	3%
	Bahrain	4%	4%	3%	3%

Project Type		Q2-2021	Q1-2021	Q2-2020	FY 20
	Time & Material	96%	97%	99%	98%
	Fixed	4%	3%	1%	2%

Services		Q2-2021	Q1-2021	Q2-2020	FY 20
	Managed Services ("MS")	36%	35%	31%	31%
	Professional Services("PS")	64%	65%	69%	69%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q2-2021	Q1-2021	Q2-2020	FY 20
	Onsite	64%	64%	68%	68%
	Offshore	36%	36%	32%	32%

Revenue Mix - Business		Q2-2021	Q1-2021	Q2-2020	FY 20
	Talent Management	57%	59%	59%	60%
	Product Engineering	24%	25%	24%	24%
	Information Technology Services	19%	16%	17%	16%

Fact Sheet

CLIENT METRICS

Clients		Q2-2021	Q1-2021	Q2-2020	FY 20
	Top 5	52%	55%	57%	55%
	Top 10	68%	70%	73%	72%

Other details		Q2-2021	Q1-2021	Q2-2020	FY 20
	No of Clients	104	104	97	118
	1 Mn +	10	10	10	10
	5 Mn +	2	2	2	2

EMPLOYEE METRICS

People		Q2-2021	Q1-2021	Q2-2020	FY 20
	<u>Total Headcount</u>	1,017	974	1,010	951
	Technical	851	805	827	779
	Support	166	169	183	172



**If you have any questions, or need assistance,
please contact:**

Mr. Ramachandra Magadi

Chief Financial Officer

Telephone: +91 80 4154 8000

Email: ram.magadi@mindteck.com

